

The Psychology of Money — Revision Booklet

Morgan Housel • 2-page rapid revision • Concepts → Mental model → Recall questions

30-second mental model: Read the bold chain below, then try to explain the book without looking at the page.

Behavior → Saving → Compounding → Margin of Safety → Freedom

CORE CONCEPTS

- Money decisions are behavioral, personal and shaped by life experience.
- Wealth is what you don't see: resources retained for future options.
- Compounding needs time; staying in the game matters more than perfect timing.
- Room for error = margin of safety against an unpredictable future.
- Know your 'enough' to avoid unnecessary risk and status chasing.

CORE CONCEPTS — CONTINUED

- The greatest dividend of wealth is control over time.
- High income ≠ wealth if spending rises with income.
- Avoid ruin: survival allows compounding to continue.
- Personal finance is personal: goals and risk tolerance differ.

The Psychology of Money — Active Recall

Close the book. Answer these from memory. Then revisit only the concepts you missed.

1. What does 'enough' mean for me?

2. What margin of safety protects my plan?

3. Am I optimizing for status, returns, or freedom?

One-sentence teach-back: Explain the entire book to someone in one sentence.

Top 3 ideas I will apply: 1) _____ 2) _____ 3) _____

Next review: _____ Score: ____ / 10